

March 15, 2025

Submitted to 

AI Action Plan
Attn: Faisal D'Souza
NCO
2415 Eisenhower Avenue
Alexandria, VA 22314 USA
Telephone: 

RE: AI Action Plan

To Whom It May Concern:

Thank you for the opportunity to provide feedback on the Administration's development of an Artificial Intelligence (AI) Action Plan.

As the country's leading health data connectivity platform and enabler of secure, compliant health information interoperability, Datavant urges the Administration to prioritize privacy-preserving frameworks for AI in healthcare. Our five actionable recommendations would accelerate American AI leadership while protecting patient privacy and addressing the fragmented regulatory landscape threatening innovation.

Datavant commends the Administration for developing a forward-looking AI Action Plan. As a founding private sector member of the National AI Research Resource (NAIRR) Pilot and the company powering health data connectivity across America's healthcare system, we offer practical insights on maximizing AI's potential while safeguarding patient privacy.

Datavant enables privacy-preserving data connectivity and utility across the healthcare ecosystem, serving:

- 75 of the nation's 100 largest health systems
- 100% of major U.S. health plans
- 300+ real-world data partners
- 70,000+ hospitals and clinics nationwide

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Our privacy expertise enables responsible AI development in healthcare, with leading statisticians and data scientists supporting innovation while maintaining robust privacy protections for sensitive health information. We analyze both conventional machine learning models and large language models (LLMs) for privacy implications and proudly contribute to the NAIRR Pilot with our privacy-preserving record linkage platform.

Datavant also uses AI to support workflows across multiple healthcare payment and operational functions to reduce costs and improve the accuracy and quality of the results delivered to our customers. In support of our healthcare provider and health plan customers, our AI solutions provide a more comprehensive understanding and thorough evaluation of relevant clinical data for use cases that enable active engagement, improve patient care, and contribute to accurate documentation. For instance, we use AI to augment the identification of care gaps for healthcare provider assessments; accelerating the analysis of chart quality as well as the accuracy of administrative coding documentation by human reviewers. Our AI solutions can also enable proactive disease risk identification and personalized care management by analyzing patterns in clinical data to predict potential health concerns before they manifest, allowing health plans and healthcare providers to implement preventive interventions and develop tailored care plans that address individual patient needs prospectively rather than reactively.

Our recommendations are guided by the following principles:

Principle 1: Regulatory fragmentation threatens AI innovation. A consensus-based definition of “high-risk AI” and risk-based AI standards should be established at the Federal level.

AI tools have many current and potential applications in the health data sector. However, it is important to recognize that privacy and security concerns—particularly regarding the processing of sensitive health data—have driven state legislatures to introduce hundreds of bills in an attempt to regulate AI and assuage consumer and patient uncertainties. This regulatory patchwork:

- Stifles innovation through compliance complexity

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- Creates geographic barriers to AI deployment
- Deepens consumer confusion about AI benefits and risks
- Hampers American competitiveness in global AI development

Datavant believes—echoing the perspective of industry thought leaders at the Healthcare Trust Institute and the Future of Privacy Forum—that AI standards should be established at the Federal level to avoid the ever-increasing layers of State-driven regulatory complexity, industry confusion, and—ultimately—consumer and patient distrust of AI.

Principle 2: AI innovation in healthcare must operate within a dual framework that leverages advanced technologies while simultaneously ensuring all applications are built on a foundation of measurable privacy standards.

This principle recognizes that AI's transformative potential in healthcare cannot be realized without maintaining public trust through demonstrable privacy safeguards and clear standards for responsible use. It addresses the fundamental tension at the heart of healthcare AI adoption. Without strong privacy protections and governance, healthcare stakeholders will resist sharing the data needed to power AI innovation, creating a cycle of data scarcity that undermines American competitiveness.

Datavant is actively developing privacy metrics with quantifiable thresholds and fostering industry-wide dialogue to achieve consensus on privacy standards and risks associated with AI and related technologies. We stand ready to contribute our expertise to this national priority, bringing together stakeholders across the healthcare ecosystem to develop measurable standards and advance privacy-enhancing technologies that will unlock AI's full potential while preserving the trust that is essential to our healthcare system. With proper federal leadership and coordination, we can ensure that American patients benefit from AI-powered medical breakthroughs while maintaining confidence in the security and privacy of their most sensitive information.

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Actionable Recommendations

Based on our extensive experience at the intersection of health information privacy, interoperability, and health data-driven innovation, Datavant proposes the following five recommendations as a practical roadmap for ensuring privacy-preserving AI in healthcare while addressing the urgent challenges posed by today's fragmented regulatory landscape.

Recommendation #1: Collaborate with industry to establish privacy-preserving, outcome-oriented health data governance frameworks.

To maximize AI innovation while maintaining appropriate privacy and security safeguards, health data governance frameworks should focus on outcomes rather than prescriptive technical approaches. A privacy-preserving outcome-oriented approach to health data governance should:

- Enable access to high-quality, representative data while protecting patient privacy
- Create standardized formats and protocols for secure data exchange
- Require regular data audits while avoiding restrictive technical mandates
- Establish a hub of de-identified, tokenized data with documented provenance to facilitate AI development, monitoring, and ongoing safety evaluations

It is important to advance policies that make high-quality, fit-for-purpose health data accessible at scale while balancing privacy and security. Access to high-quality data is an integral part of AI development, deployment, and monitoring. In this regard, having a hub of de-identified, tokenized data with documented data provenance that is accessible by interested parties such as researchers and innovators would be transformative for health AI advancement.

Recommendation #2: Partner with the private sector to create a framework for privacy-preserving health AI that includes rigorous testing against defined privacy standards.

The Administration should partner with the private sector to create a comprehensive framework that integrates privacy standards with testing protocols for healthcare AI. This unified approach should require entities using AI to adopt robust patient privacy

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and security platforms while establishing clear performance benchmarks for AI systems. The framework could include:

- Transparent documentation of AI model data inputs, including data sources and training methodologies
- De-identification protocols for training data to prevent privacy risk, with controls to limit re-identification risks as data proliferates through AI systems
- Regular auditing and testing of AI systems against established privacy and performance standards
- Iterative re-evaluation of privacy protections when models are retrained or expanded with new data

This approach recognizes that privacy protection and performance validation are interconnected aspects of responsible health AI development that should be addressed through a single, coherent framework rather than separate regulatory regimes.

Recommendation #3: Develop a risk-based health AI classification system that accelerates administrative AI while appropriately regulating clinical models, including those clinical AI applications that fall outside the FDA's purview.

To prevent regulatory overreach while ensuring patient safety, the Administration should facilitate public-private consensus on a healthcare-specific risk classification system for AI that:

- Clearly distinguishes between administrative and clinical AI applications, recognizing their fundamentally different risk profiles
- Establishes streamlined pathways for low-risk administrative AI that addresses pressing operational challenges like billing optimization, care management efficiency, and administrative workflow improvement
- Creates a tiered regulatory approach proportionate to risk, with a lightweight framework for low-risk, high-impact administrative applications and more rigorous requirements for clinical decision support and diagnostic tools

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- Acknowledges the significant opportunity costs of delaying administrative AI innovations that could alleviate healthcare workforce burnout and system inefficiencies
- Establishes guidance on when AI transitions from administrative to clinical categorization as applications and contexts of use evolve
- Regularly updates classification criteria to account for evolving capabilities and real-world performance data

This risk-based classification would prevent the application of unnecessarily burdensome requirements to administrative AI solutions that pose minimal risk while addressing critical healthcare operational needs.

Recommendation #4: The Administration should proceed with the National AI Research Resource (NAIRR) as a key public-private partnership to advance AI across a range of different sectors and applications.

The NAIRR Pilot aims to connect U.S. researchers and educators to computational, data, and training resources needed to advance AI research and research that employs AI. Federal agencies are collaborating with government-supported and non-governmental partners to implement the Pilot as a preparatory step toward an eventual full NAIRR implementation. As a founding non-governmental partner, Datavant has appreciated the opportunity to collaborate with federal and private sector stakeholders on a range of AI-related issues. This is important work that aligns with the Administration's goals of promoting American AI leadership, supporting private-sector AI development, and enhancing national competitiveness.

Datavant supports the formulation of a full-fledged NAIRR and encourages the continued public-private partnership explored under the NAIRR Pilot as a productive approach to formulating NAIRR. As part of the NAIRR, we urge the creation of domain-specific industry committees and councils to ensure the AI Action Plan benefits from agency, public, and private sector expertise.

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Recommendation #5: Promote the use of privacy-enhancing technologies to support AI innovation. PETs enable a broad variety of organizations to collaborate on AI development without exposing personally identifiable information (PII), protected health information (PHI), or proprietary data.

Within the health sector, using Privacy-Enhancing Technologies (PET) is critical for compliant data sharing. Given the rapidly evolving patchwork of privacy legislation and regulations at the state level, a data-sharing approach that enables health sector data to be shared safely, securely, and compliantly is the key to a comprehensive data strategy that underpins the nation's AI initiatives.

Datavant is the health sector leader in privacy-preserving record linkage (PPRL), which is a type of PET and would welcome the opportunity to collaborate and inform in order to incorporate PET and PPRL use more broadly in an AI Action Plan. Even more promising is that PPRL can ultimately set a bar for a scalable method for advancing AI innovation without exposing PII and PHI found in real world data sets. The AI Action Plan should foster the adoption of proven PETs at scale by:

- Promoting strategic investment in PPRL as supported by Datavant's successful implementation of tokenization and linkage across 500+ healthcare organizations
- Enabling interagency data sharing via PPRL without exposing sensitive information
- Creating standards for PET interoperability across proprietary platforms
- Incentivizing broader PET adoption through federal procurement preferences

For additional context, PPRL has been used successfully in several contexts and continues to show promise. For example:

- Datavant's PPRL has been adopted extensively by 500+ organizations within the health sector to enable privacy-preserving real world data acquisition and exchange, encompassing electronic health record (EHR) data, medical claims, specialty labs and diagnostics, retail pharmacy, specialty pharmacy, and social determinants of health data.
- Datavant has enabled interagency initiatives between federal agencies, such as data sharing between the NIH and CMS via the National Clinical Cohort

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Collaborative (N3C), led by the National Center for Advancing Translational Sciences (NCATS). The N3C is one of the NIH's reference implementations for the NAIRR Pilot. Datavant leads the privacy-preserving infrastructure and data governance related to the N3C.

- Datavant's implementation of PPRL enables token interoperability with other PPRL solutions. This is integral to the efficient pooling and aggregation of data, which ensures data initiatives can continue to scale without revisiting PPRL vendors, even on proprietary platforms.

America's global AI leadership hinges on our ability to unlock healthcare data's full potential while maintaining privacy. The recommendations above provide a practical roadmap for the Administration to foster innovation while maintaining trust across the healthcare ecosystem, including with patients. Datavant stands ready to contribute our expertise to this critical national priority. Please do not hesitate to reach out to me at [REDACTED] if we can be a resource.

Thank you.

Sincerely,

Alya Sulaiman
Senior Vice President, Regulatory Affairs
Chief Compliance and Privacy Officer

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